CASE STUDY REPORT ON ZOMATO

Submitted By:

Name: Sushil Gajanan Shinde
Enrollment Number: 2307062
Department: Information Technology (3rd Year)
Institute: Government Polytechnic, Nagpur

---

1. Introduction

Zomato is one of India's leading food delivery and restaurant discovery platforms. It has revolutionized the way people explore restaurants, order food, and experience dining. Founded in 2008, Zomato started as a simple idea and has grown into a multinational food-tech company operating in several countries.

This case study provides a detailed analysis of Zomato's journey, including its founder, origin, growth, revenue model, challenges, and key success factors.

---

2. Founder and Background

Zomato was founded by **Deepinder Goyal** and **Pankaj Chaddah**.

Deepinder Goyal completed his education from IIT Delhi and worked at Bain & Company as a consultant. During his job, he noticed a common problem faced by employees—difficulty in accessing restaurant menus. This observation became the foundation for Zomato.

Pankaj Chaddah co-founded the company and played a key role in its early growth and expansion.

---

3. Origin of the Idea

The idea of Zomato originated from a real-life problem. While working at Bain & Company, Deepinder noticed that employees had to wait in long queues to check restaurant menus.

To solve this issue, he started uploading scanned menus online for easy access. This idea gained popularity quickly.

Initially, the platform was launched as **Foodiebay** in 2008. Later, in 2010, it was rebranded as **Zomato** to create a unique identity and support global expansion.

---

4. Vision and Mission

Vision:
To become the most trusted and convenient food platform globally.

Mission:
To ensure better food for more people by connecting customers, restaurants, and delivery partners through technology.

---

5. Growth Journey

Zomato's growth can be divided into the following phases:

Phase 1: Startup Phase (2008–2011)

- Focused on restaurant listings and menu uploads
- Operated in major Indian cities
- Gained popularity for ease of access

Phase 2: Expansion Phase (2012–2015)

- Expanded to international markets like UAE, UK, and USA
- Introduced mobile applications
- Added user reviews and ratings

Phase 3: Food Delivery Phase (2015–2019)

- Entered the food delivery market
- Competed with major players like Swiggy
- Strengthened logistics and delivery network

Phase 4: IPO and Scaling (2020–Present)

- Acquired Uber Eats India
- Became a publicly listed company in 2021
- Expanded into grocery delivery through Blinkit
- Focused on profitability and efficiency

---

6. Revenue Model

Zomato generates revenue through multiple streams:

1. **Food Delivery Commission**
   Charges restaurants a commission on each order placed through the platform
2. **Advertising Revenue**
   Restaurants pay for better visibility and promotional listings
3. **Subscription Services (Zomato Gold / Pro)**
   Users pay for premium benefits like discounts and offers

4. **Delivery Charges**
   Customers pay fees based on distance and demand
5. **Grocery Delivery (Blinkit)**
   Revenue from quick-commerce grocery services

---

7. Financial Performance

Zomato has shown significant financial growth over the years. It generates revenue in thousands of crores annually. The company has continuously worked on reducing losses and improving profitability by optimizing delivery operations and expanding its services.

Its IPO in 2021 marked a major milestone, making it one of India's prominent publicly listed startups.

---

8. Challenges Faced

Zomato faced several challenges during its journey:

- Intense competition from companies like Swiggy
- High operational and delivery costs
- Maintaining profitability
- Regulatory and compliance issues
- Managing customer satisfaction at scale

Despite these challenges, Zomato adapted its strategies and continued to grow.

---

9. Success Factors

The success of Zomato can be attributed to:

- Strong leadership and vision
- Customer-focused approach
- Use of advanced technology
- Effective marketing strategies
- Strategic acquisitions (Uber Eats, Blinkit)
- Continuous innovation

---

10. Conclusion

Zomato's journey from a small idea to a global food-tech company is an inspiring example of innovation and entrepreneurship. It shows how identifying a simple problem and solving it effectively can lead to massive success.